Registration number: 00526923

Howden Joinery Limited

Annual Report and Financial Statements

for the Period from 29 December 2019 to 26 December 2020

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Howden Joinery Limited

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Howden Joinery Limited

Company Information

Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Limited

Strategic Report for the Period from 29 December 2019 to 26 December 2020

The directors present their strategic report for the period from 29 December 2019 to 26 December 2020.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 12 - 37)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 38 - 47)
- Financial and non-financial KPIs (pgs 30 - 32)
- Future developments (pgs 11, 28 - 29, 36)
- Information about environmental matters, social, community and human rights issues (pgs 48-62)
- Description of culture, purpose, market, business model and strategy (pgs 12-21)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 97 - 101, 135)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Section 172 statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. In doing this section 172 requires a director to have regard, amongst other matters, to the:

- likely consequences of any decisions in the long-term;
- interests of the company's employees;
- need to foster the company's business relationships with suppliers, customers and others;
- impact of the company's operations on the community and environment;
- desirability of the company maintaining a reputation for high standards of business conduct, and
- need to act fairly as between members of the company.

In discharging their section 172 duties the directors of the Company have regard to the factors set out above. They also have regard to other factors which they consider relevant to the decision being made. The directors acknowledge that every decision they make will not necessarily result in a positive outcome for all of the Company's stakeholders. By considering the Company's purpose, vision and values together with its strategic priorities and having a process in place for decision-making, the directors do, however, aim to make sure that their decisions are consistent and predictable.

As is normal for large companies, the directors delegate authority for day-to-day management of the Company to executives engaged in setting, approving and overseeing execution of the business strategy and related policies of the Group. How the Group's key stakeholders have been identified and interests taken into consideration, in accordance with the directors' section 172 duties of the Companies Act 2006 and the 2018 UK Corporate Governance Code, is noted in detail on pages 78 and 79 within Howden Joinery Group Plc's Annual Report and Accounts for the year ended 26 December 2020 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). As the Company forms part of the Group, the framework adopted by the ultimate parent has been disseminated and applied by the subsidiary Company.

The directors have considered the decisions made by the ultimate parent company in the Group during the year and are satisfied that these decisions were in the best interests of the Company.

Approved by the Board on 21 September 2021 and signed on its behalf by:

Forbes McNaughton
Company secretary

Howden Joinery Limited

Directors' Report for the Period from 29 December 2019 to 26 December 2020

The directors present their annual report and the audited financial statements for the period from 29 December 2019 to 26 December 2020.

Directors
The directors who held office during the period, were as follows:

Theresa Keating

Kevin Barrett (resigned 29 February 2020)

Clive Cockburn (resigned 22 March 2021)

Gareth Hopkins (resigned 24 April 2020)

Mark Robson (resigned 26 December 2020)

Andrew Witts

Robert Fenwick (resigned 26 February 2021)

Andrew Livingston

Andrew Gault

Julian Lee (appointed 23 July 2020)

Richard Sutcliffe (appointed 23 July 2020)

Mark Slater

The following directors were appointed after the period end:

Paul Hayes (appointed 27 December 2020)

Kirsty Homer (appointed 27 December 2020)

Principal activity
The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots.

Dividends
A dividend of £243.3m was proposed and paid during the current period (prior period: a dividend of £230.5m was proposed and paid).

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £1,160,734. Individual donations were:

	£
Other small cash and stock donations to over 2,500 local causes	875,210
Leonard Cheshire Disability - sponsoring "Can do" project	123,000
Donating and fitting kitchens for numerous local charities	60,895
Leonard Cheshire Disability - donating and fitting kitchens	101,000

Howden Joinery Limited

Directors' Report for the Period from 29 December 2019 to 26 December 2020

Corporate governance
Howden Joinery Limited is a subsidiary Company of Howden Joinery Group Plc, a company listed on the London Stock Exchange. The corporate governance report for Howden Joinery Group Plc in respect of the financial year ended 26 December 2020 can be accessed at www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports. This report sets out in detail how the Board of Howden Joinery Group Plc have applied the Principles and Provisions of the 2018 UK Corporate Governance Code or, in the case of Provision 38, provided an explanation of where they have not done so.

Howden Joinery Limited is the sole UK trading company in the Howden Joinery Group and in 2020 accounted for almost all of consolidated Group revenue. As outlined above, the corporate governance arrangements at Group level have been clearly identified and disclosed. Given the Company forms part of the Group, the directors acknowledge that the corporate governance arrangements in respect of Howden Joinery Group Plc are relevant to the Company and have been cascaded where appropriate.

All members of the Howden Joinery Group Plc Executive Committee, which has delegated authority for all day-to-day operational matters for the Group (other than those contained in the Schedule of Matters Reserved for the Board) are directors of Howden Joinery Limited. This means that they share the same statutory directors' duties as the directors of Howden Joinery Group Plc.

The directors have assessed whether a subsidiary corporate governance code or the adoption of the Wates Corporate Governance Principles For Large Private Companies would enhance the existing corporate governance framework for the Company and they have concluded that it would not. As such, for the year ended 26 December 2020, under the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, the Company did not apply a formal corporate governance code.

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future.

This judgement is based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its 2021 Consolidated Half-Yearly Report, dated 22 July 2021, which includes a description of how the parent company has considered and modelled possible effects of COVID 19 and Brexit on consolidated Group trading, and has concluded that it was appropriate for the consolidated Group results to be prepared on a going concern basis.

The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

The Company had 7,859 (prior period 7,890) employees during the current period and staff costs amounted to £312.8m (prior period £293.7m).

Howden Joinery Limited

Directors' Report for the Period from 29 December 2019 to 26 December 2020

Adoption of IFRS 16

The Company adopted IFRS 16 for the first time in the current year. The effects of adoption are described in note 2 to the financial statements, together with our revised accounting policies and the relevant transition disclosures. Information on the depreciation of lease right-of-use assets is given in the operating profit note. Interest on lease liabilities is given in the interest payable note. Right-of-use assets and current and non-current lease liabilities are shown on the balance sheet, together with cross-references to their respective financial statement notes which give additional detail.

Reappointment of auditors

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Engagement with suppliers, customers and other relationships

The Company has limited direct dealings with external business partners as these activities are undertaken at Group level. Details of the Howden Joinery Group's business relationships at Group level are set out on pages 82 to 87 of the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 26 December 2020 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports).

Engagement with employees

The Company has limited direct engagement with its employees as these activities are undertaken at Group level. Details of the Howden Joinery Group's employee engagement are set out on pages 82 to 87 of the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 26 December 2020 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). This includes the information relating to paragraphs 11, 11A, 11B and 11C, Part 4, Schedule 7 of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 in respect of the Company.

Approved by the Board on 21 September 2021 and signed on its behalf by:

F. McNaughton

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Forbes McNaughton
Company secretary

Howden Joinery Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent auditor's report to the members of Howden Joinery Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Howden Joinery Limited (the 'company'):

- give a true and fair view of the state of the company's affairs as at 26 December 2020 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements which comprise:

- the profit and loss account;
- the statement of comprehensive income;
- the balance sheet;
- the statement of changes in equity; and
- the related notes 1 to 28.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework" (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's (the 'FRC's') Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information
The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors
As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Extent to which the audit was considered capable of detecting irregularities, including fraud
Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

We considered the nature of the company's industry and its control environment, and reviewed the company's documentation of their policies and procedures relating to fraud and compliance with laws and regulations. We also enquired of management and internal auditabout their own identification and assessment of the risks of irregularities.

We obtained an understanding of the legal and regulatory frameworks that the company operates in, and identified the key laws and regulations that:

- had a direct effect on the determination of material amounts and disclosures in the financial statements. These included UK Companies Act, pensions legislation and tax legislation ; and
- do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty.

We discussed among the audit engagement team including relevant internal specialists such as tax, pensions, and IT specialists regarding the opportunities and incentives that may exist within the organisation for fraud and how and where fraud might occur in the financial statements.

In common with all audits under ISAs (UK), we are also required to perform specific procedures to respond to the risk of management override. In addressing the risk of fraud through management override of controls, we tested the appropriateness of journal entries and other adjustments; assessed whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluated the business rationale of any significant transactions that are unusual or outside the normal course of business.

In addition to the above, our procedures to respond to the risks identified included the following:

- reviewing financial statement disclosures by testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- enquiring of managementinternal audit and in-house legal counsel concerning actual and potential litigation and claims, and instances of non-compliance with laws and regulations; and
- reading minutes of meetings of those charged with governance.

Independent auditor's report to the members of Howden Joinery Limited

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006
In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the strategic report or the directors' report.

Matters on which we are required to report by exception
Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Use of our report
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner (Senior statutory auditor)
For and on behalf of Deloitte LLP
Statutory Auditor
London, United Kingdom
21 September 2021

Howden Joinery Limited

Profit and Loss Account for the Period from 29 December 2019 to 26 December 2020

	Note	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Turnover	4	1,519,574	1,560,143
Cost of sales		(639,139)	(625,571)
Gross profit		880,435	934,572
Administrative expenses		(654,723)	(639,241)
Operating profit		225,712	295,331
Other interest receivable and similar income	7	4	11
Interest payable and similar charges	8	(790)	(14)
Profit before tax		224,926	295,328
Tax on profit	12	(43,546)	(56,502)
Profit for the period		181,380	238,826

The above results were derived from continuing operations.

Howden Joinery Limited

Statement of Comprehensive Income for the Period from 29 December 2019 to 26 December 2020

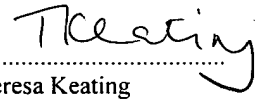
	2020 £ 000	2019 £ 000
Profit for the period	181,380	238,826
Total comprehensive income for the period	181,380	238,826

Howden Joinery Limited

(Registration number: 00526923)
Balance Sheet as at 26 December 2020

	Note	26 December 2020 £ 000	28 December 2019 £ 000
Fixed assets			
Intangible assets	15	21,169	20,913
Tangible assets	14	149,582	127,853
Right of use assets	13	46,852	-
		217,603	148,766
Current assets			
Stocks	17	248,139	226,474
Debtors	18	2,308,539	1,892,589
Cash at bank and in hand	19	6,609	2,442
Deferred tax asset	12	2,811	2,124
		2,566,098	2,123,629
Creditors: Amounts falling due within one year			
Trade and other payables	26	(2,399,002)	(1,867,686)
Income tax liability		(43,295)	(56,684)
Current portion of long term lease liabilities	22	(13,124)	-
		(2,455,421)	(1,924,370)
Net current assets		110,677	199,259
Total assets less current liabilities		328,280	348,025
Creditors: Amounts falling due after more than one year			
Long term lease liabilities	22	(35,475)	-
Provisions for liabilities	25	(10,409)	(6,452)
Net assets		282,396	341,573
Capital and reserves			
Called up share capital	20	100,000	100,000
Other reserves		33,335	29,830
Profit and loss account		149,061	211,743
Shareholders' funds		282,396	341,573

Approved by the Board on 21 September 2021 and signed on its behalf by:



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Theresa Keating
Director

Howden Joinery Limited

Statement of Changes in Equity for the Period from 29 December 2019 to 26 December 2020

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
Brought forward	100,000	29,830	211,743	341,573
Change in accounting policy adoption of IFRS 16	-	-	(830)	(830)
Adjusted opening balance at 29 December 2019 after adopting IFRS 16	100,000	29,830	210,913	340,743
Profit for the period	-	-	181,380	181,380
Total comprehensive income	-	-	181,380	181,380
Dividends	-	-	(243,266)	(243,266)
Deferred tax on share schemes	-	-	34	34
Share based payment transactions	-	3,505	-	3,505
At 26 December 2020	100,000	33,335	149,061	282,396

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 30 December 2018	100,000	25,935	203,288	329,223
Profit for the period	-	-	238,826	238,826
Total comprehensive income	-	-	238,826	238,826
Dividends	-	-	(230,507)	(230,507)
Deferred tax on share schemes	-	-	136	136
Share based payment transactions	-	3,895	-	3,895
At 28 December 2019	100,000	29,830	211,743	341,573

Howden Joinery Limited

Notes to the Financial Statements for the Period from 29 December 2019 to 26 December 2020

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 21 September 2021.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, fair value measurement, financial instruments, revenue, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis. No material uncertainties were identified. Further information about the process and basis of the going concern assessment can be found in the "Going concern" section of the Directors' Report, which details how the assessment of going concern relates to continued support from the ultimate parent company and how the Directors have assessed the quality of the commitment of that support.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Holdings Limited, a company incorporated in England.

2 Accounting policies (continued)

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 29 December 2019 have had a material effect on the financial statements other than IFRS 16, whose effects are described immediately below.

Changes resulting from adoption of IFRS 16

IFRS 16 Leases became mandatorily effective on 1 January 2019. The company has applied this for the first time in this accounting period which resulted in changes to the accounting policies.

The company recognised lease liabilities in relation to leases that were classified as 'operating leases" under the principles of IAS 17 - Leases. On transition, an additional £53,162,368 (2019 - £Nil) of right-to-use assets and £54,084,989 (2019 - £Nil) of lease liabilities were recognised with the difference allocated to retained earnings.

Together with £51k of prepayments derecognised on adoption of IFRS 16 and £144k deferred tax asset recognised on adoption of IFRS 16, the figure above makes up the total of £830k shown as an adjustment to opening reserves in the Statement of Changes in Equity

	Note	As originally reported 28 December 2019 £ 000
Operating lease commitments at 28 December 2019		58,286
Operating lease commitments discounted at the incremental borrowing rate		54,085
Lease liabilities recognised at 29 December 2019		54,085

These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as of 29 December 2019. The weighted average rate applied was 1.34%.

2 Accounting policies (continued)

NATURE OF OUR LEASING ACTIVITIES AND EFFECT OF IFRS 16:
The Group has adopted IFRS 16 Leases for the first time in the current period, with a transition date of 29 December 2019. This has replaced the previous lease accounting standard, IAS 17. The previous period has not been restated and is presented under IAS 17.

We lease our depot, warehouse, factory and office properties, as well as other assets such as fork lift trucks, lorries, vans and cars. Under IAS 17 these leases were all classified as operating leases and therefore were not recognised on the balance sheet. Rent payments under IAS 17 were charged to income on a straight-line basis. The Group did not have any leases which were classified as finance leases under IAS 17.

Under IFRS 16 we now recognise these leases on the balance sheet, causing both our gross assets and gross liabilities to increase. The addition to gross assets represents our right to use the leased asset, and the addition to gross liabilities reflects the present value of our obligation to make future lease payments.

IFRS 16 also has a timing effect on the annual lease expense, which is no longer equal to the rent payable for that year. The total income statement charge under IFRS 16 consists of an operating charge, representing straight line depreciation on the leased asset, plus an interest charge, which will vary over the life of the lease. More interest is charged in the early periods of each lease and less interest is charged in the later periods as the outstanding balance reduces, as with interest on a loan.

Rent-free periods and cash lease incentives are recognised under IFRS 16 as part of the measurement of the right-of-use assets and lease liabilities whereas under IAS 17 they resulted in the recognition of a lease incentive liability, amortised as a reduction of rental expenses on a straight-line basis.

Under IFRS 16, right-of-use assets will be tested for impairment in accordance with IAS 36 Impairment of Assets. This replaces the previous requirement to recognise a provision for onerous lease contracts.

2 Accounting policies (continued)

ADOPTION AND TRANSITION:
We have adopted IFRS 16 using the modified retrospective approach. Consequently, we have not restated the 2019 comparative figures on adoption, and we have discounted our leases using incremental borrowing rates as at the transition date.

For all our property leases and some of our vehicle leases – representing approximately 90% of our total lease commitments on adoption by value – we measured the leases on adoption as if IFRS 16 had always been applied since the lease commencement date. The remaining leases are measured as if the lease had started on the transition date.

We have elected to use the following permitted practical expedients on transition for some leases, where applicable:

• to apply the portfolio approach, using a single discount rate for a group of leases which have similar characteristics
• to use hindsight when determining the lease term
• to use the existing onerous lease provision on transition to reduce the right of use asset, rather than conducting an impairment review
• to exclude initial direct costs from measurement of the right of use asset
• to use the definition of a lease which existed under the previous accounting standard when determining if a contract contains a lease under IFRS 16
• to treat property leases as short term leases, and to expense their payments, if there is a short period between the old lease ending and the lease renewal being signed. This is explained in more detail in the accounting policy note

We have not elected to use the practical expedient to not recognise low value leases on transition.

Revenue recognition

Recognition

The company earns revenue from the sale of kitchens and joinery products to the building trade. This revenue is recognised in the accounting period when control of the product has been transferred, at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Revenue is measured at the fair value of the consideration received or receivable for goods and services provided to customers outside the Company, excluding sales taxes and discounts. Revenue is recognised on despatch.

2 Accounting policies (continued)

Dividends receivable
Dividend income from subsidiary companies is recognised when receivable.

Government grants
In the first half of the current year, the Group recognised amounts due from government-sponsored COVID-related employee furlough schemes as a credit against the related staff costs and not as an item of other income. These amounts were repaid in the second half of the year and those entries were then reversed.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

2 Accounting policies (continued)

Asset class	Depreciation method and rate
Plant, machinery and vehicles	3 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	2 - 15 years

Intangible assets

Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use.

These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

Investments

Investments in subsidiaries are stated at cost less, where appropriate, provisions for impairment.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Trade receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

Amounts payable and receivable to and from fellow Group subsidiaries

Howden Joinery Group plc has ultimate control of 100% of both this Company and a number of other wholly-owned subsidiaries (together, called "the Howden Joinery Group"). Debtors and creditors between this Company, Howden Joinery Group plc and any other Howden Joinery Group company do not bear interest and are repayable on demand.

2 Accounting policies (continued)

Stocks
Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, inventories are assessed for impairment. If inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

Dividends payable
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

2 Accounting policies (continued)

Financial instruments

Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

Impairment of financial assets

For trade receivables, the company applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due.The company has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates.

Share capital

Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Defined contribution pension obligation

A defined contribution plan is a pension plan under which fixed contributions are paid into a separate entity and has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

For defined contribution plans contributions are paid publicly or privately administered pension insurance plans on a mandatory or contractual basis. The contributions are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as an asset.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

3 Significant accounting judgements and major sources of estimation uncertainty (continued)

Allowances against the carrying value of inventories
In order to achieve the accounting policy objective that inventories are stated at the lower of cost and net realisable value, the Company carries an allowance against products which it estimates may not sell at a price above cost, or where we may be holding levels of product in excess of estimated future demand. The Company bases these estimates on a regular review of product lifecycles and selling prices achieved in the market, and in particular on historical sales profiles of products after they have been discontinued. These estimates are updated based on actual experience, but the accuracy of the estimates at any point in time can be affected by the extent to which current products may not follow historical patterns.

Both the gross inventory balance and the amount of the allowance against their carrying value are material items and we would expect this to remain the case as the Company grows in size, and as consumer demand for regular introductions of new product continues. Details of inventories and of the allowances against their carrying amount for the current and prior period end are shown in the inventories note.

4 Turnover

The analysis of the company's turnover for the period from continuing operations in the UK is as follows:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Sale of goods	1,519,574	1,558,859
Dividends received	-	1,284
	1,519,574	1,560,143

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Gain (loss) on disposal of tangible assets	(58)	(170)
Gain (loss) on disposal of intangible assets	3	(44)
	(55)	(214)

6 Operating profit

Arrived at after charging/(crediting)

	2020 £ 000	2019 £ 000
Depreciation expense - PPE	19,437	19,178
Depreciation on right of use assets - Machinery	14,050	-
Amortisation expense	4,538	3,486
Write-down of inventory to net realisable value	9,626	8,636
Foreign exchange gains/(losses)	1,015	(5,340)
Loss on disposal of property, plant and equipment	58	170
Expense on short term leases (over one month)	2,639	350

7 Interest receivable and similar income

	2020 £ 000	2019 £ 000
Interest income on bank deposits	4	11

8 Interest payable and similar expenses

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Interest on bank overdrafts and borrowings	59	14
Interest expense on leases	731	-
	790	14

9 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2020 £ 000	2019 £ 000
Wages and salaries	282,375	271,795
Social security costs	26,100	24,832
Pension costs, defined contribution scheme	10,151	7,662
Redundancy costs	1,260	486
Share-based payment expenses	3,505	3,895
	323,391	308,670

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	2020 No.	2019 No.
Administration and support	528	493
Sales	7,403	7,387
	7,931	7,880

10 Directors' remuneration

During the period and the prior period, only one of the Company's directors was paid by this Company. Details of their remuneration are as follows:

	29 December 2019 to 26 December 2020 No.	30 December 2018 to 28 December 2019 No.
Received or were entitled to receive shares under long term incentive schemes	1	1
Exercised share options	1	-
Accruing benefits under defined benefit pension scheme	1	1

In respect of the highest paid director:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Remuneration	709	681
Defined benefit accrued pension entitlement at the end of the period	60	58

10 Directors' remuneration (continued)

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

11 Auditor's remuneration

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Audit of the financial statements	297	220

12 Income tax

Tax charged/(credited) in the income statement

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Current taxation		
UK corporation tax	43,327	56,756
UK corporation tax adjustment to prior periods	761	(786)
	44,088	55,970
Deferred taxation		
Current year	278	688
Adjustment in respect of prior years	(820)	(156)
Total deferred taxation	(542)	532
Tax expense in the income statement	43,546	56,502

12 Income tax (continued)

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2019 - higher than the standard rate of corporation tax in the UK) of 19% (2019 - 19%).

The differences are reconciled below:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Profit before tax	224,926	295,328
Corporation tax at standard rate	43,058	56,112
Increase (decrease) from adjustment for prior periods	(59)	(942)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	316	906
Increase (decrease) from effect of exercise employee share options	207	426
Deferred tax expense (credit) relating to changes in tax rates or laws	24	-
Total tax charge	43,546	56,502

Deferred tax

Deferred tax movement during the period:

	At 29 December 2019 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 26 December 2020 £ 000
Share-based payment	249	(88)	-	160
Provisions	1,119	379	-	1,498
Accelerated tax depreciation	756	253	-	1,009
Leases	-	-	144	144
Net tax assets/(liabilities)	2,124	543	144	2,811

The deferred tax of £0.1m, shown above as being recognised in equity, forms part of the adjustment to opening reserves on adoption of IFRS 16, as shown in the Statement of Changes in Equity.

Deferred tax movement during the prior period:

	At 30 December 2018 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 28 December 2019 £ 000
Share-based payment	151	98	-	249
Provisions	944	88	86	1,119
Accelerated tax depreciation	1,498	(811)	70	756
Leases	-	-	-	-
Net tax assets/(liabilities)	2,593	(625)	156	2,124

12 Income tax (continued)

The Finance Act 2016 reduced the corporation tax rate to 17% with effect from 1 April 2020 and so this rate was used in the December 2019 deferred tax calculations. In the Budget of 11 March 2020, the Chancellor of the Exchequer announced that the planned rate reduction to 17% would no longer be taking effect. The changes announced during the Budget of 11 March 2020 were substantively enacted as at the 2020 balance sheet date, therefore, all opening deferred taxation balances have been remeasured at 19% with an adjustment recognised in the 2020 total tax charge.

13 Right of use assets

	Machinery £ 000	Total £ 000
Additions	14,599	14,599
Depreciation charge for the period	14,050	14,050
Carrying amount at 26 December 2020	46,852	46,852

14 Tangible assets

	Land and buildings £ 000	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 30 December 2018	-	126,996	6,695	96,390	230,081
Additions	-	14,009	18,043	7,292	39,344
Disposals	-	(825)	-	(8,953)	(9,778)
Transfers	-	417	(3,010)	2,363	(230)
At 28 December 2019	-	140,597	21,728	97,092	259,417
Additions	3,329	24,417	10,151	5,330	43,227
Disposals	-	(383)	-	(5,498)	(5,881)
Transfers	-	7,620	(15,301)	6,784	(897)
At 26 December 2020	3,329	172,251	16,578	103,708	295,866
Depreciation					
At 30 December 2018	-	79,033	-	42,690	121,723
Charge for period	-	8,961	-	10,217	19,178
Eliminated on disposal	-	(487)	-	(8,850)	(9,337)
At 28 December 2019	-	87,507	-	44,057	131,564

14 Tangible assets (continued)

	Land and buildings £ 000	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Charge for the period	40	10,346	-	9,050	19,436
Eliminated on disposal	-	(375)	-	(5,444)	(5,819)
Impairment	-	345	-	758	1,103
At 26 December 2020	40	97,823	-	48,421	146,284
Carrying amount					
At 26 December 2020	3,289	74,428	16,578	55,287	149,582
At 28 December 2019	-	53,090	21,728	53,035	127,853

15 Intangible assets

	Assets under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 29 December 2019	3,552	28,234	31,786
Additions	2,620	1,273	3,893
Disposals	-	(228)	(228)
Transfers	(3,546)	4,443	897
At 26 December 2020	2,626	33,722	36,348
Amortisation			
At 29 December 2019	-	10,873	10,873
Amortisation charge	-	4,537	4,537
Amortisation eliminated on disposals	-	(230)	(230)
At 26 December 2020	-	15,180	15,180
Carrying amount			
At 26 December 2020	2,626	18,542	21,168
At 28 December 2019	3,552	17,361	20,913

16 Investments

The Company directly holds one £1 ordinary share in two subsidiary companies. This holding represents 100% of the issued share capital and voting rights of both of the subsidiary companies.

Details of the subsidiaries as at 26 December 2020 are as follows:

Name of subsidiary	Principal activity	Registered office	Holding	Proportion of ownership interest and voting rights held 2020	2019
Howden Joinery Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%
Howden Kitchens Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%

17 Stocks

	26 December 2020 £ 000	28 December 2019 £ 000
Raw materials and consumables	9,943	8,667
Work in progress	4,781	5,664
Finished goods and goods for resale	233,415	212,143
	248,139	226,474

The cost of Stocks recognised as an expense in the period amounted to £594,985,288 (2019 - £598,896,182). This is included within cost of sales.

18 Trade and other debtors

	26 December 2020 £ 000	28 December 2019 £ 000
Trade receivables	126,709	143,633
Receivables from related parties	2,163,090	1,731,407
Prepayments	15,280	16,291
Other receivables	3,460	1,258
Total current trade and other receivables	2,308,539	1,892,589

19 Cash at bank and in hand

	26 December 2020 £ 000	28 December 2019 £ 000
Cash on hand	591	489
Cash at bank	6,018	1,953
	6,609	2,442

20 Share capital

Allotted, called up and fully paid shares

	26 December 2020		28 December 2019	
	No.	£	No.	£
Ordinary shares of £1 each	100,000,000	100,000,000	100,000,000	100,000,000

Allotted, called up and fully paid shares

	26 December 2020		28 December 2019	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	100,000	100,000	100,000	100,000

21 Obligations under leases and hire purchase contracts

Operating leases - Plant and Machinery

The total future value of minimum lease payments is as follows:

	28 December 2019 £ 000
Within one year	14,583
In two to five years	36,626
In over five years	7,077
	58,286

Rent Payable

The lease agreements for this company's properties are managed by a fellow wholly-owned Group subsidiary, and the rents are disclosed in that company.

22 Leases

Leases included in creditors

	26 December 2020 £ 000	28 December 2019 £ 000
Current portion of long term lease liabilities	13,124	-
Long term lease liabilities	35,475	-

Lease liabilities maturity analysis

A maturity analysis of lease liabilities based on undiscounted gross cash flow is reported in the table below:

	26 December 2020 £ 000	28 December 2019 £ 000
Less than one year	13,731	-
One to five years	31,646	-
Over five years	4,911	-
Total lease liabilities (undiscounted)	50,288	-

Total cash outflows related to leases

Total cash outflows related to leases are presented in the table below:

Payment	26 December 2020 £ 000	28 December 2019 £ 000
Capital repayments	14,065	-
Interest	731	-
Total cash outflow	14,796	-

23 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £10,150,855 (2019 - £7,662,526).

Defined benefit pension schemes

Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

23 Pension and other schemes (continued)

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

This company and the other participating Group subsidiary company, recognises a cost in its accounts equal to their contribution for the period.

24 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Scheme ("Freeshares")

Scheme description

This is a UK tax-advantaged 'all-employee' Share plan Incentive Plan where eligible UK employees receive an award of free shares in the Company. If participants are still employed by a UK Howdens group company on the third anniversary of the date the shares were granted, the shares will vest. There are no other performance conditions attached to these awards. Dividends are payable on the free shares during the vesting period.

24 Share-based payments (continued)

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of awards including options, conditional awards, and restricted share awards. With the exception of (vi) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options vested if cumulative PBT of £90m was achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of 10 years). 15% of the options vested if the group achieved growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% vested if pre-exceptional PBT growth was equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - the vesting period for which was three years commencing from the date of grant and subject to continuing employment.
(iv) Market value options - the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total of 10 years). Vesting conditions for the 2015 award are that it was based on profits for the three years ended December 2017, and that it did not vest if profits grew by below 8% over the vesting period, it vested at 15% if profits grew by 8% over the period, at 100% if profits grew by 20% over the period, and on a straight-line sliding scale if profits grew between 8% and 20%. The conditions for the 2016 award were the same except that vesting was based on profits in the three years to December 2018.
(v) Performance share plan. The vesting period for which is three years commencing from date of grant. The awards are subject to the following performance conditions
Date of award (a) 2017 (b) 2018 (c) 2019
Vesting based on growth in profits - from year ended December (a) 2016 (b) 2017 (c) 2018
for the three-year period ending with the year ended December (a) 2019 (b) 2020 (c) 2021
Award vests at 15% if profits over the vesting period grow by (a) 3% (b) 5% (c) 5%
Award vests at 100% if profits over the vesting period grow by (a) 15% (b) 15% (c) 15%

(vi) Restricted share awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

Recruitment Plan

Scheme description

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

25 Other provisions

	Warranties £ 000	Properties £ 000	Total £ 000
At 29 December 2019	5,011	1,441	6,452
Additional provisions	6,786	1,769	8,555
Provisions used	(3,952)	(337)	(4,288)
Unused provision reversed	-	(310)	(310)
At 26 December 2020	7,845	2,563	10,409
Non-current liabilities	7,846	2,563	10,409

The property provision at covers obligations to make dilapidations payments to landlords of leased properties. The timing of outflows from the provision is variable, and is dependent on the timing of dilapidations assessments and works.

The warranty provision relates to amounts due in respect of product warranties. As products are sold, the Group makes provision for claims under warranties. As claims are made, the Group utilises the provision and then uses this historical data to periodically revise the basis on which it makes further provision.

26 Trade and other payables

	26 December 2020 £ 000	28 December 2019 £ 000
Trade creditors	161,056	99,989
Accrued expenses	41,619	39,768
Amounts due to related parties	2,110,775	1,650,799
Social security and other taxes	84,229	76,171
Other creditors	1,323	959
	2,399,002	1,867,686

27 Dividends

	26 December 2020 £ 000	28 December 2019 £ 000
Final dividend of £2,432.60 (2019 - £2,305.07) per ordinary share	243,266	230,507

28 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Holdings Limited.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.